IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH – II, CHENNAI

CA(CAA)/24-27 & 32/CHE/2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of* Amalgamation
Between

CA(CAA)/26/CHE/2022

M/s. Saffron Ecopower Venture Private Limited
CIN: U40300TZ2016PTC028324
Represented by Authorized Signatory
Mr. Manoj Khagendra Shah
Reg Off:
4th Floor, Caledon Square Avinashi Road,
Peelamedu, Coimbatore – 04 ...Applicant/***Transferor Company -1***

CA(CAA)/27/CHE/2022

M/s. Corolla Green Power Private Limited
CIN: U40300TZ2017PTC028397
Represented by Authorized Signatory
Mr. Manoj Khagendra Shah
Reg Off:
4th Floor, Caledon Square Avinashi Road,
Peelamedu, Coimbatore – 04 ...Applicant/***Transferor Company -2***

CA(CAA)/25/CHE/2022

M/s. Crimson Ecopower Venture Private Limited
CIN: U40300TZ2017PTC029550
Represented by Authorized Signatory
Mr. Manoj Khagendra Shah
Reg Off:
4th Floor, Caledon Square Avinashi Road,
Peelamedu, Coimbatore – 04...Applicant/***Transferor Company –3***

CA(CAA)/24/CHE/2022

M/s. Coral Ecopower Venture Private Limited
CIN: U40108TZ2017PTC029592
Represented by Authorized Signatory
Mr. Manoj Khagendra Shah
Reg Off:
4th Floor, Caledon Square Avinashi Road,
Peelamedu, Coimbatore – 04 ...Applicant/***Transferor Company -4***

CA(CAA)/32/CHE/2022

M/s. Leap Green Energy Private Limited
CIN: U70101TZ2006PTC013130
Represented by Executive Director
Mr. Vijayan Dev Anand
Reg Off:
4th Floor, Caledon Square Avinashi Road,
Peelamedu, Coimbatore – 04 ... Applicant/***Transferee Company***

And
Their Respective Share Holders and Creditors

Order Pronounced on 20th June 2022

CORAM

Justice (Retd.) RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicants: *N.P. Vijaykumar, Advocate*

ORDER

Per: **S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under Consideration are five separate Applications filed by the Applicant Companies viz., **1. M/s. Saffron Ecopower Venture Private Limited** (for brevity "Transferor Company -1"), **2. M/s. Corolla Green Power Private Limited** (for brevity "Transferor Company -2"), **3. M/s. Crimson Ecopower Venture Private Limited** (for brevity "Transferor Company -3"), **4. M/s. Coral Ecopower Venture Private Limited** (for brevity "Transferor Company -4"), and **5. M/s. Leap Green Energy Private Limited** (Transferee Company) under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME"

proposed by the Applicant Companies. The said scheme of Amalgamation is placed as **Annexure D** along with the typed set of papers filed. The Applicant Companies have sought prayer as follows,

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY-1	To dispense with the meeting of 3 Equity Shareholders	NA	To dispense with the meeting of 2 Unsecured Creditors
TRANSFEROR COMPANY-2	To dispense with the meeting of 3 Equity Shareholders	NA	To dispense with the meeting of 2 Unsecured Creditors
TRANSFEROR COMPANY-3	To dispense with the meeting of 2 Equity Shareholders	NA	To dispense with the meeting of 2 Unsecured Creditors
TRANSFEROR COMPANY-4	To dispense with the meeting of 2 Equity Shareholders	NA	To dispense with the meeting of 2 Unsecured Creditors
TRANSFEREE COMPANY	To dispense with the meeting of 9 Equity Shareholders	To dispense with the meeting of 1 Secured Creditor	To dispense with the meeting of the Unsecured Creditors including trade creditors

2. Five separate affidavits in support of the above applications sworn for and behalf of the applicant Companies have been filed by one ***Manoj Khagendra Shah*** Son of Khagendra Madhavdas Shah in the capacity of Authorized Signatory of the Applicant Companies along with the respective applications and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Coimbatore.

3. **M/s. Saffron Ecopower Venture Private Limited (Transferor Company-1 – CA(CAA)/26/(CHE)2022)**

(i) There are **3** (Three) Equity Shareholders and the list of shareholders to this effect signed by a Practicing Company Secretary along with the Consent Affidavit obtained is placed between pages 111-120 of the typed set filed with the application seeking dispensation with holding of meeting.

(ii) There is NIL Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 121 of the typed set filed along with the Application. Hence the necessity to conduct the meeting does not arise.

(iii) There are **2** (Two) Unsecured Creditors and the certificate issued by the Chartered Accountant to this effect along with the Consent Affidavit obtained is placed between pages 121-128 of the typed set filed along with the Application seeking dispensation with holding of meeting.

4. **M/s. Corolla Green Power Private (Transferor Company-2 – CA(CAA)/27/(CHE)2022)**

(i) There are **3** (Three) Equity Shareholders and the list of shareholders to this effect signed by a Practicing Company Secretary along with the Consent Affidavit obtained is placed between pages 111-120D of the typed set filed with the application seeking dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 121 of the typed set filed along with the Application. Hence the necessity to conduct the meeting does not arise.

(iii) There are **2** (Two) Unsecured Creditors and the certificate issued by the Chartered Accountant to this effect along with the Consent Affidavit obtained is placed between pages 121-128 of the typed set filed along with the Application seeking dispensation with holding of meeting.

5. M/s. CRIMSON ECOPOWER VENTURE PRIVATE LIMITED (TRANSFEROR COMPANY-3 – CA(CAA)/25/(CHE)2022)

(i) There are **2** (Three) Equity Shareholders and the list of shareholders to this effect signed by a Practicing Company Secretary along with the Consent Affidavit obtained is placed between pages 102-108D of the typed set filed with the application seeking dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 109 of the typed set filed along with the Application. Hence the necessity to conduct the meeting does not arise.

(iii) There are **2** (Two) Unsecured Creditors and the certificate issued by the Chartered Accountant to this effect along with the Consent Affidavit obtained is placed between pages 109-116 of the typed set filed

along with the Application seeking dispensation with holding of meeting.

6. M/s. Coral Ecopower Venture Private Limited (Transferor Company-4 – CA(CAA)/24/(CHE)2022)

(i) There are **2** (Two) Equity Shareholders and the list of shareholders to this effect signed by a Practicing Company Secretary along with the Consent Affidavit obtained is placed between pages 102-108D of the typed set filed with the application seeking dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 109 of the typed set filed along with the Application. Hence the necessity to conduct the meeting does not arise.

(iii) There are **2** (Two) Unsecured Creditors and the certificate issued by the Chartered Accountant to this effect along with the Consent Affidavit obtained is placed between pages 109-116 of the typed set filed along with the Application seeking dispensation with holding of meeting.

7. M/s. Leap Green Energy Private Limited (Transferee Company – CA(CAA)/32/(CHE)2022)

(i) There are **9** (Nine) Equity Shareholders and the list of shareholders to this effect signed by a Practicing Company Secretary along with the Consent Affidavit

obtained from 6 shareholders is placed between pages 220-239 of the typed set filed with the application seeking dispensation with holding of meeting. Upon perusal of the Consent affidavit filed by the Equity Shareholders of the Transferee Company, it is seen that there are 9 Equity Shareholders, however the consent Affidavit has been obtained and filed only by six Equity Shareholder constituting 98.12% of share value. In this regard it is relevant to refer to Section 230(6) of the Companies Act, wherein this Tribunal has power to dispense with the meeting of the Creditors if they have at least ninety per cent value and also confirm by way of an Affidavit. Such power of dispensation of the meeting is not granted to the Equity Shareholders under Section 230 the Companies Act 2013. However this Tribunal is granting dispensation of the meeting of the Equity Shareholders provided if they produce 100% consent Affidavits. The prayer for dispensation of the meeting of the Equity Shareholders of the Transferee Company as sought for cannot be acceded to.

(ii) There is **1** (One) Secured Creditor and the certificate issued by the Chartered Accountant to this effect along

with the Consent Affidavit obtained is placed between pages 240 -248 of the typed set filed along with the Application seeking dispensation with holding of meeting. Upon perusal of the Consent affidavit filed by the Secured Creditor of the Transferee Company, it is seen that there is only one Equity Shareholder, the consent Affidavit has been obtained and filed. However, the said Affidavit is not backed up by the Board Resolution of the Company Concerned. Hence, the prayer for dispensation of the meeting of the Secured Creditor of the Transferee Company as sought for cannot be acceded to.

(iii) There are **7** (Seven) Unsecured Loan Creditors including collective advances from 537 customers in one tranche and the certificate issued by the Chartered Accountant to this effect along with the Consent Affidavit obtained is placed between pages 242-266 of the typed set filed along with the Application seeking dispensation with holding of meeting.

(iv) There are **43** (Forty Three) Unsecured Trade Creditors and the certificate issued by the Chartered Accountant to this is placed at 242 of the typed set filed along with the Application seeking dispensation with holding of meeting.

Upon perusal of the Consent affidavit filed by the Unsecured Loan Creditors of the Transferee Company, it is seen that the consent Affidavits has been obtained and filed. However, the said Affidavit is not backed up by the Board Resolution of the Company Concerned. Hence, the prayer for dispensation of the meeting of the Unsecured Creditors of the Transferee Company as sought for cannot be acceded to.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

9. From the certificate of incorporation filed, it is evident that the Transferor Company-1 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 30.12.2016. The Authorized Share Capital of the Transferor Company-1 is ₹22,50,00,000/- (Rupees Twenty Two Crore Fifty Lakh Only) consisting of 70,00,000 Class A Equity Shares of Rs.10/- each and consisting of 1,55,00,000 Class B Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-1 as on 31.03.2021 is ₹100,000/- (Rupees One Lakh Only) consisting of 10,000 Class B Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company is

situated at 4th Floor, Caledon Square, Avinashi Road, Peelamedu, Coimbatore – 04.

10. From the certificate of incorporation filed, it is evident that the Transferor Company-2 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 24.01.2017. The Authorized Share Capital of the Transferor Company-2 as on 31.03.2021 is ₹22,50,00,000/- (Rupees Twenty Two Crore Fifty Lakh Only) consisting of 70,00,000 Class A Equity Shares of Rs.10/- each and consisting of 1,55,00,000 Class B Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-1 is ₹100,000/- (Rupees One Lakh Only) consisting of 10,000 Class B Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company is situated at 4th Floor, Caledon Square, Avinashi Road, Peelamedu, Coimbatore – 04.

11. From the certificate of incorporation filed, it is evident that the Transferor Company-3 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 06.10.2017. The Authorized Share Capital of the Transferor Company-3 as on 31.03.2021 is ₹10,00,000/- (Rupees Ten Lakh Only) consisting of 1,00,000 Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-

1 is ₹100,00/- (Rupees One Lakh Only) consisting of 10,000 Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company is situated at 4th Floor, Caledon Square, Avinashi Road, Peelamedu, Coimbatore – 04.

12. From the certificate of incorporation filed, it is evident that the Transferor Company-4 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 23.10.2017. The Authorized Share Capital of the Transferor Company-4 as on 31.03.2021 is ₹10,00,000/- (Rupees Ten Lakh Only) consisting of 1,00,000 Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company-1 is ₹100,00/- (Rupees One Lakh Only) consisting of 10,000 Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company is situated at 4th Floor, Caledon Square, Avinashi Road, Peelamedu, Coimbatore – 04.

13. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 2013 on 09.10.2006. The Authorized Share Capital of the Transferee Company as on 31.03.2021 is ₹16,31,00,00,000/- (Rupees One Thousand Six Hundred and Thirty One Crore Only) consisting of 105,00,00,000 Equity Shares of Rs.10/- each and 58,10,00,000 Cumulative

Compulsory Convertible Preference shares of Rs. 10 each. The Issued, Subscribed and Paid-up Capital of the Transferee Company is ₹1,43,81,25,020/- (Rupees One Hundred and Forty Three Crore Eighty One Lakh Twenty Five Thousand and Twenty Rupees Only) consisting of 14,38,12,502 Equity Shares of Rs.10/- each. The Registered office address of the Transferor Company is situated at 4th Floor, Caledon Square, Avinashi Road, Peelamedu, Coimbatore – 04.

14. The Applicant Companies have filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available audited Annual Accounts for the Financial year ended 31.03.2021 and unaudited accounts as on 30.09.2021.

15. The Boards of Directors of the Applicant Companies vide meeting held on 9th September 2021 have unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

16. The Appointed date as specified in the Scheme is 01.04.2021.

17. The Statutory Auditors of the Applicant Companies have examined the Scheme in terms of provisions of Sec. 232 of

Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors issued in this regard is placed along with the typed set filed with the respective Company Applications.

18. Upon consideration of the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE TRANSFEROR COMPANY-1:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-1 that there are 3 Equity Shareholders in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-1 that there is **NIL** Secured Creditor in the Company as certified by an Independent Chartered Accountant the necessity of convening and holding the meeting is ***dispensed with.***

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-1 that there are **2** Unsecured Creditors in the Company whose consent by way of Affidavit has been obtained and placed

on record, the necessity of convening and holding the meeting is ***dispensed with.***

B. IN RELATION TO THE TRANSFEROR COMPANY-2:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-2 that there are **3** Equity Shareholders in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-2 that there is **NIL** Secured Creditor in the Company as certified by an Independent Chartered Accountant the necessity of convening and holding the meeting is ***dispensed with.***

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-2 that there are **2** Unsecured Creditors in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

C. IN RELATION TO THE TRANSFEROR COMPANY-3:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-3 that there are **2** Equity Shareholders in the Company whose consent by way of Affidavit has been obtained and placed

on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-3 that there is **NIL** Secured Creditor in the Company as certified by an Independent Chartered Accountant the necessity of convening and holding the meeting is ***dispensed with.***

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-3 that there are **2** Unsecured Creditors in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

D. IN RELATION TO THE TRANSFEROR COMPANY-4:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-4 that there are **2** Equity Shareholders in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-4 that there is **NIL** Secured Creditor in the Company as certified by an Independent Chartered Accountant the necessity of convening and holding the meeting is ***dispensed with.***

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-4 that there are **2** Unsecured Creditors in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

E. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity shareholders:**

Meeting of Equity Shareholders of the Transferee company is directed to be held on **30.07.2022 at 10:00 AM** at the Registered office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issuance of notices.

(ii) **With respect to Secured Creditors:**

Meeting of Secured Creditors of the Transferee company is directed to be held on **30.07.2022 at 11:30 AM** at the Registered office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issuance of notices.

(iii) **With respect to Unsecured Creditors:**

Meeting of Unsecured Creditors of the Transferee company is directed to be held on **30.07.2022 at 12:00 AM** at the Registered office address of the Transferee

Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issuance of notices.

19. QUORUM FOR THE MEETING

The quorum for the meeting of the Equity Shareholder, Secured and Unsecured Creditors of the Transferee Company shall be as follows;

	Equity Shareholders	Secured Creditors (1 Secured Creditor only)	Unsecured Creditors
Transferee Company	3	1	7

i) The Chairperson appointed for the above said meetings of the Transferee Company shall be **Mr. C. Thirumoorthy** (***Mobile No. 9843096789***) and the alternate chairperson appointed for the above said meeting shall be the Director for the Transferee Company. The fee of the Chairperson for the aforesaid meetings of the Transferee Company shall be ***Rs.1,50,000/-*** (Rupees One Lakh Fifty Thousand Only) (consolidated) in addition to meeting their incidental expenses.

ii) **Mr. K. Radhakrishnan,** - (***Mobile No. 7502644178***) is appointed as a Scrutinizer for meetings of the Transferee Company and would be entitled to fee of ***Rs. 65,000/-*** (Rupees Sixty Five Thousand Only) (consolidated) for services in addition to meeting incidental expenses. The

Chairperson will file the reports of the meetings within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meetings of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavor should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted either by way of physical means or by video or other audio visual means enabled with e-voting as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting,

indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*" (All India Edition), and "*Makkal Kural*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, the Reserve Bank of India, Official Liquidator in respect of Transferor Companies, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant

companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

20. Accordingly, the Applications stand **Allowed** on the aforementioned directions.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (RETD.) S.RAMATHILAGAM
MEMBER (JUDICIAL)